

OPERATING SEGMENTS

► **Lemon Tree Hotels (LTH) has the largest number of hotels (63) in the midscale segment**

► **LTH plans to focus on growing its upscale segment, which operates 3 hotels in the country**

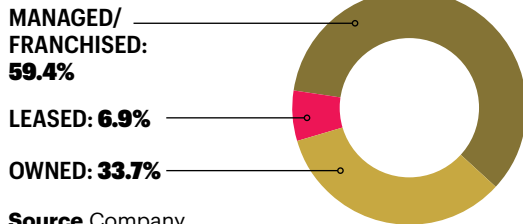
Upscale Segment: Aurika (3 hotels)	Upper Mid-scale Segment: Lemon Tree Premier (19), Keys Prima (1)
Mid-scale Segment: Lemon Tree hotels (52), Keys Select (11)	Economy Segment: Red Fox (11), Keys Lite (4)

Source Company

BUSINESS MODELS

► **LTH has three kinds of branded hotel arrangements: owned, leased, and franchise agreements**

► **More than half of the hotels in its portfolio are managed or franchised by LTH**



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(PAT) of ₹140.54 crore in FY23, after posting a loss of ₹137.36 crore in FY22; gross sales have almost doubled to ₹874.99 crore in FY23 from ₹402.24 crore in FY22. And there are 50-plus hotels in the pipeline.

According to financial services firm IDBI Capital, there will be robust inventory addition through management contract/franchisee to drive sustainable margin improvement in the mid- to long-term at LTH. “We continue to like LTH amongst the mid-scale hotels segment given its scale of operations. With the renovation of existing hotels under LTH and Keys (another LTH brand), we expect ADR (average daily rate, or the average rental revenue earned for an occupied room per day) to get a substantial push in the mid-term,” it said in a recent report.

Keswani says that in the short run, the highest

growth will come from the luxury segment. “It’s the tip of the bell curve. It’s visible in the premiumisation trend,” he says, adding that the hockey stick growth will come from the mid-market space, where LTH is a leader. “I think in the next five years, close to 40% of India will get urbanised. That’s all these Tier II, III, IV towns. Naturally, there will be a growth in consuming class with demand coming from smaller towns and cities.”

According to the HVS ANAROCK India Hospitality Industry Overview 2022 published last year, in 2022, mid-scale hotels continued to dominate the market, accounting for 48% of all signed properties. The hotel industry is seeing a significant structural shift, with substantial investments directed towards expanding the mid-scale segment to cater to the needs of the growing middle class, it says. “The next big opportunity [will be] with GenZ. They’re aspirational, brand conscious, willing to live on credit more and more and moving into middle-income affluence,” says Keswani, adding that as more young people move into the ₹15 lakh or higher income category, they will start consuming better.

Brokerage firm Motilal Oswal expects LTH’s strong momentum to continue going forward, led by further improvement in occupancy and average room rate (ARR, a metric similar to ADR), on the back of a resilient demand scenario. “We expect mid-teen ARR growth in FY25 with the occupancy rate of over 70%,” it said in a recent report, adding that it expects further increase in ARR within key brands such as ‘Lemon Tree Premier’ and ‘Lemon Tree Hotels’. “Supply is growing at ~5% p.a., while demand is growing at a much faster pace on a pan India level,” it added.

Experts say that domestic travel has emerged as the dominant force in the last few years, with Indians opting for road trips, staycations and workcations. The LTH boss says staycations, the rise of ‘bleisure’ (a combination of business and leisure) travel, the shift towards sustainable practices, and advancements in technology are upcoming industry trends that he’s well positioned to cash in on.

Keswani, who can often be found dressed in sweatshirt and trousers—and sporting a ponytail—in the boardroom, says nothing keeps him awake at night except Netflix. But he warns of the biggest potential threat his industry faces. “What happens when Google, Facebook, Amazon, or Apple use their global platforms, to bundle deals together like flights, restaurants, and hotel bookings? That’s the only thing that will disrupt my outreach to the customer and my brand.” That is something to chew on. **BT**

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